RODCENT MOTORS (PVT) LTD
versus
VALENTINE INTERNATIONAL (PVT) LTD

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
MUNGWARI & MUSHURE JJ
HARARE; 10 February & 16 June 2026

Commercial Appeal

F. Mzeya for the appellant
A. Kadye for the respondent

MUSHURE J:

INTRODUCTION

[1] The appellant and the respondent are companies duly incorporated in terms of the laws of Zimbabwe. On 14 March 2018, they entered into an agreement in terms of which the respondent leased to the appellant certain space measuring 35m wide and 64m long at its commercial premises on 74 King George Road, Avondale, Harare ("the premises"). The agreed rental for the space was US$700,00, subject to adjustments from July 2018.

[2] It was a specific term of the agreement that the lease would have a five-year renewable term commencing on 1 April 2018. It was a further term of the agreement that the option to renew the lease was within the discretion of the respondent as the lessor, and that the lessor would, not less than two calendar months before the expiration of the lease, communicate in writing its intention to renew the lease. In turn, the appellant, as the lessee, was obliged by the agreement to indicate in writing its acceptance of the extension not less than one calendar month before the date of expiration. The lease agreement provided, further, that the lease would be deemed to have been extended by one year if the lessee remained in occupation with the consent or acquiescence of the lessor.

PROCEEDINGS IN THE COURT A *QUO*

[3] On 31 August 2023, the respondent sued out summons in the magistrates' court seeking the appellant's eviction from the premises on the basis that the lease had expired on 31 March 2023; that the appellant had breached the lease agreement by sub-letting a portion of the premises; and that the appellant had, despite demand, failed, refused and /or neglected to vacate the premises. The respondent further sought holding over damages in the sum of US$700 per month or its local currency equivalent, calculated from 31 August 2023 to date of ejectment. The respondent also prayed for costs of suit on an attorney-client scale.

[4] The claim was vigorously opposed by the appellant, who pleaded that it had improved the state and value of the premises at a cost of more than US$100 000. Further, it had demanded payment of those improvements to no avail, so the plaintiff was seeking to unjustly benefit from the improvements. The appellant pleaded, further, that it had remained in occupation of the premises after 31 March 2023 with the consent and involvement of the respondent. It denied the respondent's assertion that it undertook to vacate the premises by 31 March 2023 and insisted that the respondent was estopped from evicting it before reimbursing it of the expenses it incurred in improving the property. It submitted that it had stopped paying rentals when the summons was issued although it had no problems paying the rentals and abiding by the lease.

[5] The appellant also claimed, in convention, US$128 600, comprising US$120 000 reimbursement for the improvements effected by the appellant on the premises and US$8 600, being the loss of a year of its five-year lease at the time the improvements were being done. In the alternative, the appellant sought an order estopping the respondent from evicting it pending payment for the improvements on the premises and costs of suit. As the matter progressed in the court a *quo*, the appellant withdrew the counterclaim and filed it as a separate suit in the High Court under HCH2328/24.

[6] After a full trial, the court a *quo* found that the respondent had proved on a balance of probabilities that it was entitled to evict the appellant on account of the expiry of the lease and unpaid rentals. The court found that the issue of appellant's compensation for the improvements was being dealt with in the High Court and that issue was not before it, hence the appellant could not proffer it as a defence to the respondent's claim. On this basis, the court a *quo* granted the respondent's claim.

THE APPEAL BEFORE THIS COURT

[7] Aggrieved by the decision, the appellant launched the present appeal on five grounds couched as follows:

i. The court a *quo* erred at law in dismissing Appellant's defence on the right of retention (lien) without considering it substantively and further on the basis that the dispute was not before him notwithstanding that the same issue was pending before the High Court under HCH2328/24.
ii. The court a *quo* erred at law in holding, contrary to clause 2 of the agreement between the parties, that the lease had terminated upon the institution of the summons notwithstanding that the Respondent had, at the very least, acquiesced to Appellant's continued occupancy.
iii. The court a *quo* grossly misdirected himself on facts in ordering payment of rentals contrary to the evidence of the Respondent and, further, without consideration of some payment that had been paid.
iv. The court a *quo* erred at law in ordering payment of rentals without evidence despite Appellant's proof, contrary to clause 1 of the agreement between the parties, that Respondent had given over to it the full square meterage it was entitled to.
v. The court a *quo* erred at law in ordering payment of rentals without taking into account to SI33 of 2019 which affected the payment of rentals in United States Dollars for such an agreement as one that was in consideration.

[8] The appellant prayed that the appeal be allowed and for the decision of court a *quo* to be set aside and substituted with an order dismissing the respondent's claim with costs.

SUBMISSIONS BEFORE THIS COURT

[9] In its heads of argument, the appellant cojoined grounds one and three. It also cojoined grounds two and four. At the hearing of the appeal, it abandoned the fifth ground of appeal.

[10] In motivating the first and third grounds of appeal, it was contended for the appellant that the court a *quo* did not take into account the evidence before it pertaining to the lien in favour of the Appellant which was subject to determination in the High Court. It was contended, further, that the court a *quo* erroneously ordered the payment of holding over damages in the form claimed in the court a *quo*, without deducting a sum of US$1 800 that had already been paid by the appellant to the respondent.

[11] In relation to the second and fourth grounds of appeal, it was submitted that once parties enter into a contract, they are bound by the agreement until that contract is set aside by an order of a court. It was submitted, further, that the court a *quo* erred in making a finding that varied from the agreed position of the parties, in particular the manner in which the contract would be cancelled, the nature the land was in at the time of occupation and agreements to

develop same. The appellant accused the court a *quo* of descending into the arena and making a contract for the parties.

[12] Before us, the appellant's legal counsel, Mr *Mzeya*, submitted that the court a *quo* did not interrogate the substantive defence the appellant had raised in relation to the improvements made on the premises in circumstances where the improvements had been admitted and the case was pending at the High Court for quantification. During discourse with the court, Mr *Mzeya* conceded that the issue of quantification of the improvements was not before the magistrates' court.

[13] Mr *Mzeya* submitted, further, that as long as the appellant continued to stay at the property, the lease agreement would be deemed, by dint of clause 2 of the agreement, to have been extended by one year. He argued that the respondent had permitted the appellant to remain at the premises up to 30 April 2023, therefore, automatically, the lease agreement was extended by one year. He however accepted that there was no written consent to extend the lease agreement.

[14] Mr *Mzeya* argued that the appellant had to occupy a certain space, of which he was not in occupation of the actual square meterage he had been 'allocated'. His further argument was that the respondent could not eject the appellant in circumstances where he was not occupying the same area as the one he was paying rentals for. It emerged during an exchange with the court that the issue of the space occupied by the appellant was not an issue before and the appellant had happily paid full rentals for the space it was occupying since 2018. Surely, it could not become an issue five years later simply because the appellant was facing eviction. To his credit, Mr *Mzeya* accepted that the fourth ground of appeal was ill-fated. His concession was dispositive of this ground of appeal.

[15] Finally, Mr *Mzeya* confirmed that when the summons was issued, the appellant stopped paying rentals and had not paid rentals for close to three years despite remaining in occupation of the premises.

[16] In contesting the appeal, the respondent initially argued, in *limine*, that the appeal was fatally defective because the certificate of service stated that the Notice of Appeal was done on 2 January 2025 instead of 18 August 2025. Commendably, the respondent did not persist

with this preliminary point at the hearing of the matter because what was defective was the certificate of service not the Notice of Appeal.

[17] On the merits, the respondent contended that the appellant withdrew its counterclaim for the lien on 11 December 2024 so that withdrawal rendered the issue of an improvement lien irrelevant to the court a *quo*. The respondent further contended that the third ground of appeal could not succeed because the appellant had stopped paying rentals at the commencement of litigation so there were no payments for the court to consider.

[18] With regards the termination of the lease, the respondent submitted that it was not in dispute that the lease agreement had terminated by effluxion of time. The respondent argued that the fourth ground of appeal did not advance anything and should be abandoned.

[19] At the hearing of the appeal, Mr *Kadye,* appearing for the respondent, submitted that the withdrawal of the counterclaim put the question of improvements beyond the court a *quo*. He submitted, further, that in the court a *quo*, the appellant submitted that it did not have any challenges with vacating the premises, what it wanted was compensation for the improvements. It was his submission that there was no way the court a *quo* could have dealt with the issue of compensation which was before the High Court. He made the point that the appellant conceded that it was no longer paying rentals.

[20] He submitted that the deeming provision in clause 2 of the lease agreement was conditional and there was no evidence that the respondent consented or acquiesced to any extension of the lease agreement. He contended that the appellant had not paid US$1800 and the letter it was relying on to prove the payment was a letter written by the appellant's, not the respondent's legal practitioners. Mr *Kadye* submitted that the appeal had no merit but was simply an attempt to avoid eviction. He prayed for dismissal of the appeal with costs on a higher scale because it was frivolous and had not been filed with any *bona fide* intention to challenge the correctness of the court a *quo*'s decision. The appellant remained in possession three years on without paying any rentals for the premises.

[21] At the invitation of the court on the status of the High Court matter, Mr *Kadye* submitted that the matter had gone through all the motions in preparation for trial but had been removed from the roll at the pre-trial conference stage sometime in 2025 at the instance of the appellant purportedly because the appellant's key witness was in the United Kingdom.

Mr *Mzeya* could not tell when exactly the matter was removed from the roll and when the key witness would return to Zimbabwe. He could not answer why he had sought removal of the matter from the roll, yet the witness could testify remotely through the virtual court feature available on the Integrated Electronic Case Management System (IECMS) platform. On the proof of receipt of the US$1800, Mr *Mzeya* submitted that the respondent's legal practitioners had confirmed receiving this payment in writing, but the appellant had not placed this letter in the Appeal record due to an oversight on his part. He insisted that the letter from his law firm and the respondent's confirmation during trial that a letter had been written confirming the payment were sufficient to prove that the US$1800 payment had indeed been made.

ISSUES FOR DETERMINATION

[22] From a reading of the grounds of appeal, the heads of argument and the oral submissions before this court, it seems to me that three issues fall for determination as follows: -

a. Whether or not the court a *quo* erred in not considering the appellant's defence relating to the improvement lien;
b. Whether or not the court a *quo* erred in holding that the lease had terminated; and
c. Whether or not the court a *quo* erred in not deducting US$1800 from the holding over damages.

[23] I turn now to look at these in turn.

WHETHER OR NOT THE COURT A *QUO* ERRED IN NOT CONSIDERING THE APPELLANT'S DEFENCE RELATING TO THE IMPROVEMENT LIEN

[24] In the celebrated case of *Gwaradzimba N.O* v *C J Petron and Co (Pty) Ltd* 2016 (1) ZLR 28 (S), at p 32 B, the Supreme Court restated the position of the law that a court must generally determine all the issues raised by the parties "unless the issue so determined can put the whole matter to rest". It is trite that a failure to do is a misdirection vitiating the proceedings.

[25] From a reading of the appellant's first ground of appeal, its grief is two pronged. Firstly, it is that the court a *quo* dismissed its defence without considering it substantively and secondly, that it dismissed it on the basis that the dispute was not before it yet the same issue was before the High Court. Certainly, this ground of appeal is neither clear nor specific. It is not properly articulated. In my view, the two bases upon which the appellant seeks to impugn the decision of the court a *quo* on this ground are contradictory. In one breath, the appellant argues that the court a *quo* did not consider its defence and in another, it seems to argue that it did, but it erroneously concluded that the dispute was not before it.

[26] At the hearing of the matter, Mr *Mzeya* was at pains to justify the argument that the trial court did not consider this issue 'substantively', because the record will show that the trial court considered this issue. I will demonstrate this.

[27] In concluding that the defence did not avail to the appellant, the trial court reasoned as follows:

> "On the face of it, it is manifestly evident from the evidence led that the plaintiff has managed to prove on a balance of probabilities that it is entitled to the eviction of the defendant on account of the lease agreement having expired and unpaid rentals. The question that the court now needs to answer is whether or not the defendant as a lessee has a right to resist the plaintiff's claim for ejectment. According to the defendant's witness the defendant is holding out for compensation for developments made to the property. The legal position on compensation for developments was eloquently expressed by GILLESPIE J in the case of *Ormashah* v *Karasa* (1996 (1) ZLR 584 (H) at p. 589F) in the following: -
>
> > "The effect of this law is unequivocally that a lessee, and consequently the defendant, has no right of retention of occupation of leased property after the termination of the lease as a lien against compensation for improvements"
>
> The issue of compensation for developments is being dealt with in another forum at the High Court. For purposes of the present matter in the Magistrates Court it is not in question. Therefore, the defendant cannot proffer that issue as a defence to the present claim."

[28] These were the reasons given by the court a *quo* in reaching the decision it did. There is therefore no basis for the appellant to argue that the trial court did not consider this issue substantively, because it did consider the issue as evidenced by the reasons outlined above. The appellant's contention was never that the court a *quo*'s reasoning was flawed in terms of the law. Instead, its argument was that the court a *quo* did not consider the issue substantively, yet the record of proceedings shows that the trial court did consider the issue and came to the conclusions it did.

[29] With regards the second basis, it is common cause that the appellant initially filed a counterclaim claiming compensation for improvement. It then removed that matter before the magistrates' court through a withdrawal and placed it before the High Court. In exchanges with the court, Mr *Mzeya* could not properly explain what exactly the appellant wanted the court a *quo* to do, when the appellant had decided to withdraw the counterclaim and file it in the High Court.

[30] From a reading of the record, the appellant's own witness in the court a *quo,* Thembalethu Ndlovhu, testified that the appellant had no problem leaving the premises, all it wanted was to be compensated accordingly. When asked what the appellant was requesting from the court since the issue of compensation was before the High Court, the witness requested that the City Council be stopped from disturbing their operations.

[31] The exchanges between the appellant's witness and the appellant's counsel in the court a *quo* show that both appreciated that the issue of compensation was now before the High Court. It is therefore curious, looking at the first ground of appeal, that the appellant still expected the court to deal with an issue that was not before it. The trial magistrate cannot be faulted for concluding that the issue of compensation was being dealt with before another court, because that was the correct state of affairs at the relevant time.

[32] In all respects therefore, I find that there is no merit on the ground of appeal that alleges that the court a *quo* did not substantively consider the appellant's defence and that it erred in dismissing the defence on the basis that the dispute was not before the court a *quo*.

WHETHER OR NOT THE COURT A *QUO* ERRED IN HOLDING THAT THE LEASE HAD TERMINATED

[33] Clause 2 of the lease agreement between the parties provides that:

> "**PERIOD**
> Notwithstanding the date upon which (the) lease was signed, the lease shall commence on the 1st day of April 2018 and shall continue for a period of five year(s) with the option of renewal at the discretion of the lessor. The lessor shall, not less than two calendar months before the expiration of the lease communicate in writing of its intention to renew the lease whereupon the lessee shall indicate its acceptance in writing not less than one calendar month before the date of expiration although the lease shall be deemed to have been extended by one year if the lessee remains in occupation with the consent/ acquiescence of the lessor."

[34] In *casu*, it is common cause that there was no written consent to extend the lease by a year. In the court a *quo*, the appellant's witness testified that at the time the summons was

issued, they had been promised a year by the respondent. He did not say that that promise was eventually fulfilled, so it remained a promise. When he was asked when the lease had expired, he stated that it had expired in 2023. When it was put to him that the lease expired, his response was in the affirmative. Despite the witness' own testimony, Mr *Mzeya* persisted with the argument that the appellant remained in occupation with the consent and involvement of the respondent.

[35] I am not persuaded by that argument. On record is a letter dated 15 February 2023 wherein the appellant sought renewal of the lease by a further five years. Also on record is a response from the respondent dated 17 March 2023, indicating that the lease would not be renewed beyond 18 April 2023 and giving the appellant up to 30 April 2023 to wind up its business. The letter stated, further, that the respondent would organise a handover/ takeover process on 1 May 2023. In my view, that letter is clear proof that the respondent was not interested in renewing the lease. I find Mr *Mzeya*'s submission that because the respondent indulged the appellant for twelve days, then the appellant acquiesced to an extension, spurious. That submission has no basis, moreso considering that the letter was followed up by the issuance of summons on 31 August 2023. The respondent's position could not have been clearer- it did not want to extend the lease agreement.

[36] In the final analysis, the facts of this matter do not support the appellant's argument that its stay beyond 30 April 2023 was with the consent and involvement of the respondent. The appellant cannot seriously argue that because it stayed on briefly after being advised to vacate the premises then the respondent consented or acquiesced to its stay.

[37] In the premises, I find nothing to fault in the reasoning of the court a *quo* that the lease terminated in 2023. This reasoning is supported by the evidence on record. There is nothing to support the ground of appeal that the respondent acquiesced to the appellant's continued occupancy of the premises. The second ground of appeal is without merit.

WHETHER OR NOT THE COURT A *QUO* ERRED IN NOT DEDUCTING US$1800 FROM THE HOLDING OVER DAMAGES

[38] On 29 January 2024, the appellant's legal practitioners wrote a letter to M.C. Mukome Legal Practitioners stating that they had received US$1800 from their client into their trust

account for rentals which money was being delivered to the legal practitioners by the appellant's legal practitioners' messenger. During the respondent's witness' cross-examination, she was asked if the respondent's erstwhile legal practitioners had written to the appellant confirming receipt of US$1800 to which she replied in the affirmative. When she was asked if she objected that the respondent received the money from the appellant, she stated that to her understanding, nothing was paid, and she stood her ground on this position despite spirited cross examination.

[39] At the hearing of the appeal, Mr *Mzeya* attempted to pass off the letter authored by his law firm as the letter written by the respondent's legal practitioners confirming the payment. Upon Mr *Kadye* pointing this out, Mr *Mzeya* then shifted to say that at the trial in the court a *quo*, another letter was shown to the witness, and it was an oversight that that letter was not incorporated as part of the appeal record. Nothing could be further from the truth.

[40] The appellant's bundle of documents did not contain such a letter, neither did the index accompanying the bundle suggest that such a letter was discovered. The only letter that was discovered is the 29 January 2024 letter I have already alluded to. In my view, there was no such letter. In my view, the appellant could not have omitted such a crucial piece of evidence from the record. In my further view, the existence of such a letter was Mr *Mzeya*'s creation from the bar. It is unfortunate that an officer of the court would deliberately mislead the court.

[41] In the court a *quo*, it was common cause that the appellant stopped paying rentals when the respondent issued summons against the appellant. The appellant's witness testified that the appellant stopped paying rentals before the issuance of summons. There was never an allegation that US$1800 had been paid. The excuse given was that the appellant had been denied the chance to pay rentals because of the issuance of summons.

[42] In the absence of evidence confirming receipt of the US$1800, I find no reason to fault the court a *quo*'s award of holding over damages in the manner it did. There was no cogent basis to deduct US$1800, and none has been pointed out by the appellant to vacate the trial court's findings in this regard.

[43] In all respects therefore, I find that the appeal lacks merit and should be dismissed.

[44] Turning to the issue of costs, the respondent has prayed for costs on a higher scale. While costs are in the discretion of the court, the jurisprudence in this jurisdiction is that the courts will not lightly accede to a prayer for an award for costs on a legal practitioner and client scale except in exceptional circumstances. See for example, *Kangai* v *Netone Cellular (Pvt) Ltd* 2020 (1) ZLR 660 (H) and *Borrowdale Country Club* v *Murandu* 1987 (2) ZLR 77 (H). In this appeal, I am inclined to agree with Mr *Kadye*'s submission that this appeal is frivolous. It was not noted with a *bona fide* intention to challenge the correctness of the decision of the court a *quo,* but the appellant is just bidding time at the expense of the respondent's right to derive commercial benefit from its property. For three years now, the appellant has not paid any rentals for the premises. The appellant's counsel even sought to mislead the court that the appellant paid some US$1 800 since the issuance of summons, yet there is uncontroverted evidence on record that payments ceased when the summons was issued. Further, the appellant is not even seriously and genuinely pursuing its compensation claim in the High Court. Instead, the appellant sought removal from the roll of the very same matter it is brandishing as a shield against its eviction from the premises. The appellant and its counsel's conduct erode investor confidence and fly in the face of all efforts to ease the doing of business in Zimbabwe. Such conduct should be censured through an appropriate order for costs on a punitive scale.

ORDER

[45] In the result, the following order is made:

1. The appeal be and is hereby dismissed in its entirety with costs on a legal practitioner and client scale.

MUSHURE J:……...

MUNGWARI J: ..... I agree

Lawman Law Chambers, appellant's legal practitioners
Lindah & Ashely Attorneys respondent's legal practitioners